

Real estate can be one of the best, and definitely one of the biggest financial investments that you will make.

When buying property for the purpose of investing, the most important factor to consider is the location. Unlike other investments, real estate is dramatically affected by the condition of the immediate area surrounding the property and other local factors.

Several factors need to be considered when assessing the value of real estate. This includes the age and condition of the property, improvements that have been made, recent sales in the neighbourhood, changes to zoning regulations, etc. You have to look at the potential income a house can produce and how it compares to other houses in the area.

Investment in real estate makes very logical sense because it is not only your invested money that goes up, but also the money invested by the bank on your behalf from which you can profit. Let us consider the following example to illustrate the above point.

Let us say that you purchase a home for ₹50 lacs. You make a down payment of around 20% and obtain the remaining 80% on loan from a bank. This essentially means that you invested approximately ₹10 lacs and the bank has invested ₹40 lacs. Now, let us assume that the property you bought appreciated by approximately 10% in a year. If you have timed your purchase perfectly, the appreciation may be much higher. Considering even this conservative increase, in rupee terms, the appreciation in one year was ₹5 lacs.

Let us also assume that you pay an EMI with annual rate of interest of around 10% to the bank. If you bought property that could be rented out, you can easily cover at least 50-75% of your EMI from Day 1. That leaves us with the bank EMI interest rate of approx 2-3%, which has not been covered by the rent. In rupee terms, this comes to around ₹1 lac in Year 1.

So the picture after Year 1 is as follows: You invested ₹10 lacs and if you decide to sell after Year 1, you can sell the property at ₹55 lacs. If you return the principle amount of ₹40 lacs and Year1 EMI interest of ₹1 lac, to the bank, you are left with ₹14 lacs. Now, that is a return of 40%. The appreciation that you received was not only on your amount but also on the investment of the bank's part. This amount can be much larger if you time